PAYING FOR RESILIENCE: WHO SHOULD BEAR THE COST?

The Fenwick Institute, research report

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SUMMARY

We estimate the adaptation investment needed on the Arden coast at between $6,828 million and $10,504 million over twenty years, depending on the standard of protection adopted. We do not estimate the cost of repairing damage already suffered, which is a matter of record rather than of estimation.

WHO PAYS NOW

On our analysis of current arrangements, roughly 28.6 per cent of realised loss has fallen on property owners, 43.6 per cent on insurers and their policyholders, and the remainder on federal and state taxpayers. Almost none has fallen on the sellers of fossil fuel products, which is the gap the current legislative interest addresses.

THREE MECHANISMS COMPARED

We compare a charge on sellers, a broad-based state tax, and an insurance surcharge. Each has a different incidence and a different political economy. A charge on sellers is the only one of the three whose incidence falls substantially outside the State, which is both its attraction to legislators and its legal vulnerability.

ON THE SIZE OF FUNDS

We note that legislatures have generally set fund targets by reference to estimated need rather than to the activity charged, and that this is the point at which enacted measures have been most vulnerable. We do not offer a rule for how the two should be related; we observe only that a measure whose target bears no stated relation to the charged activity invites the question.

Full methodology in the technical appendix.